

MARKETS

# Chink in the Armour

From hitting all-time highs to crashing over 2,000 points on August 5—the equity markets have been seeing much volatility. What lies ahead?

BY RAHUL OBEROI

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ILLUSTRATION BY RAJ VERMA

► **MONDAY MAYHEM**—THAT was the echoing sentiment on August 5, when the benchmark BSE Sensex crashed 2,222 points as fears of a potential recession in the US drove investors away from risky assets. This fall was seemingly triggered by external stimuli and not as much by domestic forces as the equity mar-

**0.25**  
per cent

**THE BOJ'S NEW INTEREST RATE AFTER THE JULY MEETING. THE EARLIER RATE WAS FROM 0 TO 0.1%**

kets were hovering at record-high levels. Amid geopolitical tensions, the Bank of Japan's (BOJ) recent decision to raise interest rates triggered a ripple effect across global markets, including India. At the July meeting, the BOJ raised its policy interest rate to 0.25% from 0-0.1% earlier. Despite the volatility, ana-